China tightens control over AI exports

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China’s draft AI export control framework tightens Beijing’s grip over the export of Chinese models without closing the diffusion door. Despite adopti

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summary

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China’s draft AI export control framework tightens Beijing’s grip over the export of Chinese models without closing the diffusion door.
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Despite adopting populist measures during the campaign, Brazilian President Luiz Inacio Lula da Silva is likely to undertake a fiscal correction to create conditions for lower interest rates.
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The risk of the US attacking Iran after the midterm elections will keep oil prices elevated.
*
Venezuelan opposition leader Maria Corina Machado’s return will add pressure to define a timeline for new elections, though a vote is unlikely before late 2027.
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, India, Iran, Venezuela, geoeconomics, geo-technology, and oil.

the top line

China, US, Geo-technology—Beijing tightens grip on AI exports without closing the diffusion door

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China’s draft AI export control framework, which sets thresholds based on training data, model size, performance, and scale, is an effort to extend Beijing’s control over Chinese models and prevent intellectual property transfers like the now-reversed Manus-Meta deal.
*
Export licensing will apply to both open and closed models, though many open-weight releases and overseas deployments on Chinese-owned infrastructure may qualify for automatic licensing—a pathway that still brings new scrutiny and opportunities for control.
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Enforcement will be light to start, but the rules will expose third-country deployers of Chinese models to Beijing's licensing risk, potentially undermining China's strategy of spreading its models abroad. Washington has raised concerns, but a substantial US response is unlikely.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Brazil—Market sell-off will reinforce Lula's fiscal course correction

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Despite adopting populist measures during the campaign, Lula recognizes the need for a fiscal correction to create conditions for lower interest rates, something that a meaningful market sell-off on 26 October has certainly reinforced.

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A constitutional amendment to curb growth in obligatory spending is likely and could be sent to Congress in the coming weeks as a counterpoint to the market sell-off, and the primary surplus target for 2027 could be raised.

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Vice President Geraldo Alckmin and the Governor of Piaui, Rafael Fonteles, are the two leading candidates running for finance minister. Both would signal a need for fiscal course correction. But other names, such as Brazilian Central Bank Governor Gabriel Galipolo, are cited as possibilities to signal fiscal credibility.

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EG downgraded Brazil's short-term trajectory to neutral on longstanding concerns that fiscal adjustments will tend to be modest and insufficient to curb the rising debt-to-GDP ratio, and Lula will face a difficult economy in 2027. Declining public support will make Lula more inclined to tax the rich and the productive sector to fund benefits to the middle class.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

US, Iran, Oil—Escalation risk will keep oil prices elevated

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Brent crude prices have risen above $110 per barrel, in line with EG's expectations.

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While Middle East and North Africa flows have returned to prewar levels, sustaining those levels will remain a challenge due to ongoing Iranian attacks. Elevated regional volumes are unlikely to lower prices soon.

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Iran's oil exports have finally fallen to zero and, absent any change in US posture, they are unlikely to resume. That outlook suggests the country's economic and financial woes will worsen.

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Russia is sending its first diesel cargo to the US since 2022, but the shipment is unlikely to ease price pressure in the US, where diesel remains above $6 per gallon ahead of next week's midterm elections.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Geoeconomics, Brazil—In the post-election equity rout, only basic materials hold up

Venezuela, US—Machado’s return will increase pressure for transition

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Machado’s return to Venezuela, likely with tacit support from Washington, will provide the opposition with renewed local leadership and add pressure to define a timeline for new elections amid incremental US-backed transition talks.
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Machado is unlikely to immediately mobilize her supporters or challenge recent oil deals, given her desire to secure US backing for a fresh vote. Interim President Delcy Rodriguez is similarly incentivized to avoid conflict.
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President Donald Trump’s administration will continue to prioritize economic stabilization, including a pending debt restructuring. A new vote is unlikely until late 2027 or 2028, which could cause Machado and her base to lose patience and become more confrontational.
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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

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27 October 9:00 PM ET—MENA crisis update call. Register here .
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28 October 9:30 AM ET—Latin America update. Register here .
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28 October 11:00 AM ET— Israeli post-election update with Ambassador Daniel Shapiro. Register here .

eg in brief

US—Midterms update with election analyst Kyle Kondik: Democrats remain on track to win a substantial House majority, likely 230-235 or more seats. Kondik projects they have a clearer path to 51-52 Senate seats with eight days remaining. Seven races—Michigan, Texas, Kansas, Iowa, Ohio, Alaska, and Maine—will decide Senate control, and Republicans still have not shown signs of recovery despite late spending. Trump’s roughly -20 net approval rating, versus roughly -10 in 2018, remains the main structural force behind Democratic strength in the House, Senate, and gubernatorial races. Read conference call notes here . Reach out to discuss: unitedstates@eurasiagroup.net .

India—Modi will ride out protests, but the BJP’s caste coalition is fraying: Prime Minister Narendra Modi’s government will ride out recent protests over the deletion of voters from electoral rolls. The more durable problem for Modi is friction between Hindu upper-caste and lower-middle-caste voters in the ruling Bharatiya Janata Party’s electoral coalition. The conclusion of the EU-India and Canada-India trade agreements in December is expected to boost exports of labor-intensive goods, potentially generating jobs and reviving private investment. India’s economic growth is resilient, but its two main

drivers, consumption and infrastructure spending, are slowing. Read the conference call notes here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming events:

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27 October: Events: Israeli parliamentary elections; Data: US Conference Board consumer confidence; Central bank decision: Chile.
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28 October: Events: UK budget; Data: India and Russia industrial production, and Russia unemployment; Central bank decisions: Canada, New Zealand, Thailand, and US.
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29 October: Events: EU-Canada Summit begins in Montreal, through 30 October; Data: US personal income, PCE price index, and GDP; Central bank decisions: Egypt, ECB, and Ukraine.
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30 October: Events: G20 Foreign Ministers' meeting begins, through 31 October; Data: Eurozone GDP and unemployment, Mexico GDP, France, Italy, and Poland CPI, and Japan and South Korea industrial production; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"We can't have monstrously large companies earning billions off us, paying barely any tax, and trying to direct the electoral outcome of our country."—Lula said in his victory speech in Sao Paulo on 25 October, calling for regulation of big tech companies.

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